BROADCOM INC.

Nasdaq: AVGO | Custom AI accelerators, Ethernet switching and optical parts, and infrastructure software | Palo Alto, California

Tommy Lau | 6 October 2026 | Initiation of coverage | Independent research

INITIATE AT LONG	**Target price:** US$485.00	**Last price:** US$362.51 (Nasdaq close, 5 October 2026)	**Upside:** +34%

Broadcom is still paid either way, but the tailor now earns most of the toll. At US$363, the price assumes AI revenue barely grows after fiscal 2027.

Broadcom designs the custom AI chips the largest buyers use to rely less on Nvidia, and sells the Ethernet switch chips their clusters run on, whoever made the chips. On 2 October I argued it is paid whether the cloud giants stay with Nvidia or leave. The results support it: AI revenue was US$16.7bn in the quarter to 2 August 2026, up 221%, with custom chips and AI networking both up more than two and a half times. But custom chips were 73% of it, and networking's share fell from almost 40% to 27% in a quarter.

At US$362.51, on my sum of the parts with chips at 20 times and software at 17 times, the price needs fiscal 2028 AI revenue of about US$127bn: only 11% above the US$115bn Broadcom expects in fiscal 2027, against management's US$230bn. I take US$190bn, a haircut that is my own judgement.

My call: LONG, medium conviction, target US$485. My base case is worth US$486, up 34%. The bear case is US$226 (down 38%) and the bull case US$647 (up 79%). Conviction is medium because the two largest buyers from 2027 are AI labs that must borrow, and Broadcom backstops one lab's rack leases.

Stock data
LAST PRICE **US$362.51, Nasdaq close 5 October 2026; 52-week range US$289.96 to 495.00 (intraday)**
MARKET VALUE **About US$1,731bn on 4,774m shares (2 Aug 2026)**
NET DEBT, 2 AUG 2026 **US$35.4bn: debt US$59.4bn, cash US$24.0bn**
NON-GAAP P/E, MY ESTIMATES **31x FY26E, 20x FY27E, 14x FY28E (FY26 ends 1 Nov 2026; FY27 about 31 Oct 2027)**
CONSENSUS (STOCKANALYSIS.COM) **EPS US$11.66 FY26, US$19.39 FY27; average target US$531.85**
Q4 FY26 GUIDE (2 SEP) **Revenue US$34.8bn, of which AI US$21.7bn; gross margin about 73%; operating margin about 66%**
AI OUTLOOK (2 SEP) **About US$58bn in FY26, US$115bn in FY27 and US$230bn in FY28, supply secured for both**
CUSTOMERS, Q3 FY26 **Top five end customers about 55% of revenue (40% a year earlier)**
NEXT RESULTS **Q4 FY26, planned for 9 December 2026 (2 Sep 2026 call)**

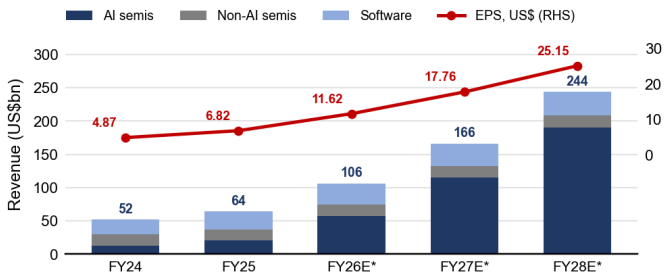
Key financials (non-GAAP unless marked; FY26 ends 1 November 2026, FY27 about 31 October 2027)

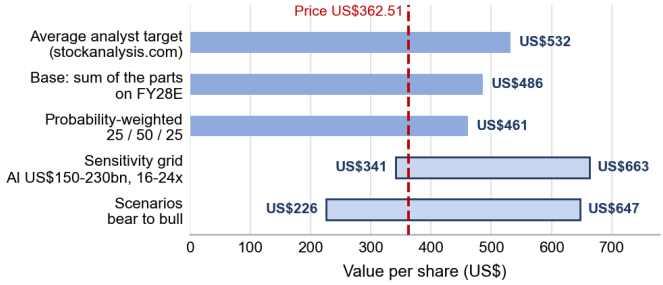
US$ billion unless stated	FY24A	FY25A	Q4 FY26 guide	FY26E*	FY27E*	FY28E*
Revenue	51.6	63.9	34.8	105.9	166.0	243.5
Revenue growth (%)	44	24	93	66	57	47
AI semiconductors	12.2	20.2	21.7	57.6	115.0	190.0
Non-AI semiconductors	17.9	16.7	4.3	16.8	17.5	18.0
Infrastructure software	21.5	27.0	8.7	31.4	33.5	35.5
Gross margin (%)	76.5%	78.6%	about 73	75.1%		
Operating income	30.7	42.0	23.0	70.8	106.6	149.4
Operating margin (%)	59.6%	65.7%	about 66	66.9%	64.2%	61.4%

EPS, diluted (US$)	4.87	6.82		11.62	17.76	25.15
Consensus EPS (US$)				11.66	19.39	n/v
P/E at US$362.51 (x)		53		31	20	14

**FY26E is three reported quarters plus my reading of the Q4 guide; FY27E and FY28E are my own estimates, with FY27 AI revenue at management's US$115bn outlook. Fiscal years end on the Sunday closest to 31 October: FY2026 on 1 November 2026, FY2027 on about 31 October 2027. The Q4 segment guides (AI US$21.7bn, non-AI about US$4.3bn, software about US$8.7bn) sum to US$34.7bn against the US$34.8bn consolidated guide. Income lines are Broadcom's non-GAAP measures, which exclude stock-based pay (US$2.0bn in Q3 FY26) and acquisition amortisation; GAAP EPS for the first three quarters of FY26 was US$6.09 against US$7.81 non-GAAP. FY25 AI revenue is the sum of the four quarters. Consensus from stockanalysis.com (S&P Global data, updated 2 October 2026); n/v: FY28 consensus not verified. History from Broadcom's results releases.*

Two charts: the AI money, and a value well above the price



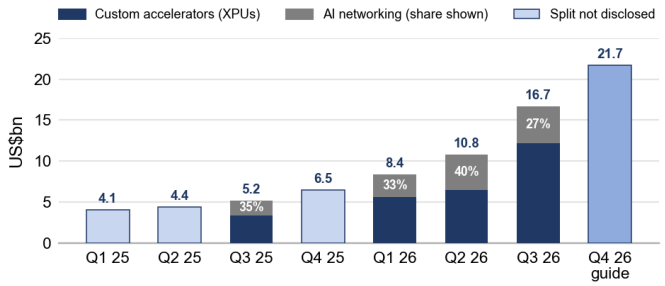


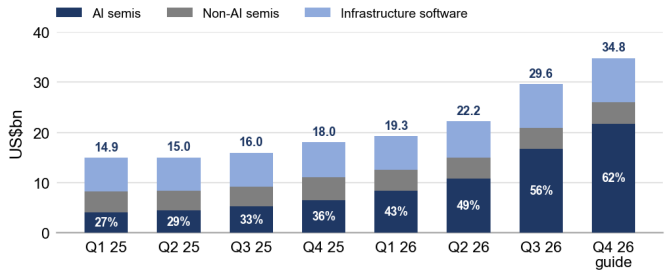
Left: revenue by part and non-GAAP diluted EPS, FY24A to FY28E; FY24 and FY25 per Broadcom, the rest my estimates. Right: value per share from the base case, the probability-weighted cases, the sensitivity grid and the bear to bull range, against the US$362.51 price (red) and the stockanalysis.com average analyst target, retrieved 6 October 2026.

The thesis: the tailor who also makes the zip

Go back to the tailor from the October piece. A shirt off the rail fits most people well enough; ten thousand shirts for exactly the same body are worth having made. Very few workshops can cut cloth at that standard, and one of them also makes the zip sewn into almost every shirt on the rail. That workshop is Broadcom.

Both halves are growing. In the quarter to 2 August 2026, AI revenue was US$16.7bn, 56% of the total. On the 2 September call Hock Tan, the chief executive, said custom accelerator shipments were 73% of it: about US$12.2bn of custom chips and US$4.5bn of networking. Custom chips grew more than three and a half times in the year and AI networking more than two and a half. Charlie Kawwas, who runs the chip business, said even customers not using Broadcom's custom chips use Tomahawk 6, its 102.4 terabit switch. That is the half paid by buyers who stay with Nvidia.





Left: AI semiconductor revenue by fiscal quarter, US$bn, split into custom accelerators and networking where Broadcom gave the share on its calls (4 September 2025, 4 March, 3 June and 2 September 2026). Right: revenue by part, with AI's share of the total. Q3 FY26 is the quarter to 2 August 2026; Q4 FY26 is the guide of 2 September 2026. Source: Broadcom results releases and calls.

But the tailor now earns most of it. Networking's share of AI revenue was 35% in the quarter to 3 August 2025, a third in the quarter to 1 February 2026 and almost 40% in the quarter to 3 May; in the quarter to 2 August it fell to 27%. Tan said in June that 40% was probably the peak and about 30% the likely level, and in September that networking should grow as fast as custom chips. Broadcom does not say how much of its networking goes into Nvidia clusters. So the piece's first test has moved against the stay half, while the claim survives.

The supply is physical, and bought. The 10-Q shows US$126.8bn of unconditional purchase commitments, mostly inventory: US$52.7bn in FY27 and US$73.0bn in FY28. Broadcom opens its own substrate plant in Singapore from FY27, and Kawwas said its indium phosphide laser factories are more than tripling. Remaining performance obligations across both

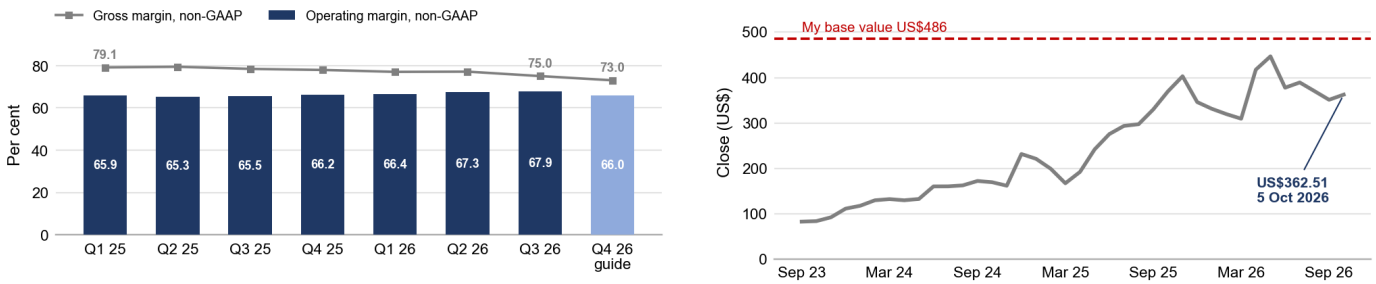
segments reached US$179.2bn. **The other tests:** the custom customer count is still six, unchanged since March. Tan said Broadcom is shipping TPU version 8i ahead of MediaTek's 8t, which was started earlier. In April Google signed a long-term agreement for Broadcom to develop and supply future TPU generations, and a separate supply assurance agreement for networking and other components through up to 2031.

The toll per dollar of sales is thinning. Non-GAAP gross margin fell from 78.4% a year earlier to 75.0%, and about 73% is guided. Amie Thuener, the finance chief, put it down to custom chips' rising memory content; the chip segment's gross margin was about 67%, against 94% for software. Operating margin rose to 67.9% and is guided at 66%, because costs grow far more slowly than revenue.

Anthropic runs Google's chip, on leased racks

Broadcom's 8-K of 6 April 2026 says Anthropic will "access through Broadcom" next generation "TPU-based AI compute capacity"; the TPU is Google's chip. On the December 2025 call Tan described Anthropic's first orders as TPU Ironwood racks, and in September he said Broadcom delivered Ironwood TPUs in volume "to both Anthropic and Google".

The 10-Q for the quarter to 2 August adds that, for a customer it does not name, a financial partner bought racks for more than one gigawatt and leases them to that customer, with Broadcom backstopping the lease payments up to about US$29bn; Thuener said on the September call that this first US$35bn tranche is for Anthropic's one gigawatt deployment. So the racks are leased, not owned; the filings do not say where they are hosted. It matters: Tan expects Anthropic to be Broadcom's largest custom customer in 2027, so the two largest buyers run one chip family, the one Google has split with MediaTek. The claim holds, because Broadcom is paid on those TPUs.



Left: non-GAAP operating margin (bars) and gross margin (line) by fiscal quarter, with the Q4 FY26 guide (light blue). Right: AVGO month-end close, September 2023 to the 5 October 2026 close (Nasdaq.com, retrieved 6 October 2026), against my base value.

Variant perception: what the market prices in, and where I differ

At US$362.51 Broadcom is worth about US$1,731bn, with US$35.4bn more debt than cash. The shares closed at a high of US$481.57 on 2 June 2026 (intraday high US$495.00 on 3 June) and are 25% below it, up 5.5% since my piece. They trade at 31 times my FY26 EPS and 20 times FY27; on consensus, 19 times FY27.

What the price needs. By October 2027 the market will price FY28, the year to about October 2028. At 20 times after-tax operating profit for chips and 17 times for software, less net debt, US$362.51 needs FY28 AI revenue of about US$127bn, 11% above FY27's US$115bn. Management says it has line of sight to US$230bn and that FY28 EPS should exceed US$30; at US$30 the shares would be on 12 times.

Where I differ. Management says supply for both FY27 and FY28 is secured. Tan said timely deployment is "always very much in our mind" when Broadcom sets its outlook, and that customers' land, power and shell are already reflected in it. I still take US$190bn, 17% below management, and the haircut is my own judgement: most of the growth comes from two labs that must raise money to pay, and in my view doubling deployed capacity in a year leaves little room for a late building or grid connection. The price assumes far less, and US$73.0bn of FY28 supply is already contracted. My worry is credit, not power: Tan expects Anthropic and OpenAI to be the two largest custom buyers by 2028, and Broadcom built the AI XPV platform with financial partners to fund more than 20 gigawatts for them by the end of 2028. The 8-K says Anthropic's use of the capacity "is dependent on Anthropic's continued commercial success".

Valuation, with the working

Two businesses, two multiples, FY28 non-GAAP after-tax operating profit. FY26 is three reported quarters plus the Q4 guide (US$34.8bn, 66% operating margin, 16% tax, 4.94bn shares): EPS US$11.62, against US$11.66 consensus. FY27 takes US$115bn of AI, US$17.5bn of non-AI chips and US$33.5bn of software, a 60% chip margin (61.3% in Q3) and 81% for software (83.7% in Q3): EPS US$17.76, 8% below the US$19.39 consensus. FY28 takes US$190bn of AI and a 58% chip

margin: EPS US$25.15. Chips are worth US$410 a share and software US$83, less US$7 of net debt, held flat with the share count on the assumption that cash after dividends goes to buybacks: US$486.

Scenarios: three cases, twelve months out

Case	What happens	FY28 AI	Chip margin	Multiples	Value	Change	Weight
Bear	Lab financing stalls: no AI growth after FY27	US$115bn	52%	14x / 14x	US$226	down 38%	25%
Base	Deployment slips behind management's plan	US$190bn	58%	20x / 17x	US$486	up 34%	50%
Bull	Management's plan arrives in full	US$230bn	60%	22x / 20x	US$647	up 79%	25%
Weighted	**25 / 50 / 25**				**about US$461**	**up 27%**	

Multiples are chips / software, on after-tax operating profit. Software (US$35.5bn at 81%) and non-AI chips (US$18bn) are the same in all three. FY28 EPS: bear US$16.39, base US$25.15, bull US$29.94. The bear case is not fanciful: the shares fell 28% between the end of December 2024 and the end of March 2025, and closed at US$293.41 on 30 March 2026. The band: long when my base value is at least 15% above the price, short when it is at least 25% below, no call in between.

Sensitivity: FY28 AI revenue against the chip multiple

FY28 AI revenue	16x	20x	24x
US$150bn	US$341	US$407	US$474
US$190bn	US$404	**US$486**	US$568
US$230bn	US$467	US$565	US$663

Eight of the nine cells sit above today's price, and six by more than 15%. The only cell below it needs both FY28 AI revenue of US$150bn and a chip multiple of 16 times. Software stays at 17 times. Every figure is live in the accompanying model.

Peer landscape

Company	Ticker	Forward P/E	What they make
Broadcom	Nasdaq: AVGO	20.9x	Custom AI chips, switch chips, optical parts, infrastructure software
Advanced Micro Devices	Nasdaq: AMD	56.9x	GPUs and CPUs for data centres
Marvell	Nasdaq: MRVL	53.4x	Custom AI chips, optical DSPs, switch chips
TSMC	NYSE: TSM	20.7x	Foundry: makes Broadcom's custom chips and switch chips
Nvidia	Nasdaq: NVDA	19.8x	GPUs, NVLink, InfiniBand and Ethernet networking
Qualcomm	Nasdaq: QCOM	19.5x	Mobile and connectivity chips; data centre CPUs
ServiceNow	NYSE: NOW	30.0x	Enterprise workflow software
Microsoft	Nasdaq: MSFT	26.6x	Cloud, operating systems and enterprise software
IBM	NYSE: IBM	17.4x	Mainframes, Red Hat and infrastructure software
Oracle	NYSE: ORCL	16.7x	Databases, enterprise software and cloud
Adobe	Nasdaq: ADBE	8.9x	Creative and document software
Arista Networks	NYSE: ANET	44.5x	Ethernet switches, many built on Broadcom chips

Forward P/E from stockanalysis.com, retrieved 6 October 2026 during US trading. Chip peer median (AMD to Qualcomm) 20.7 times; software peer median (ServiceNow to Adobe) 17.4 times; Arista shown for reference. Multiples only; no view on the peers' shares.

Catalysts

When	Event	What I watch
9 December 2026 (planned)	Q4 FY26 results (quarter to 1 November)	AI revenue against US$21.7bn; networking's share; Q1 FY27 guide; gross margin against 73%
Any time	Further AI XPV tranches	Whether Broadcom backstops them, and on what terms
Through FY27	TPU 8i and MediaTek's 8t; Anthropic's 5 gigawatts	Who ships Google's volume; Anthropic's funding
From FY27	Singapore substrate plant; Tomahawk 7	Supply against the US$115bn; networking growth against custom

Risks: what would hurt the view

The labs cannot pay. Anthropic and OpenAI depend on raising capital. Broadcom backstops up to US$29bn of one lab's rack leases and may hold up to US$42bn of its convertible notes; if later tranches carry similar terms, the exposure grows with the revenue. This is the bear case, a 38% fall. **Concentration.** The top five end customers took about 55% of revenue in the August quarter, against about 40% a year earlier; one distributor took 50%. **The exit swings both ways.** Every buyer has its own chip team, and Google started MediaTek's 8t before Broadcom's 8i.

Margin dilution. If racks with more memory and bought-in parts outgrow operating leverage, operating margin falls too; my base already takes the chip margin from 61% to 58%. **Nvidia's networking.** If Nvidia's Ethernet and scale-up links win inside its own clusters, the stay half shrinks further than the 27% share already shows.

What would change my mind

Out of the long: a price above about US$423 with my numbers unchanged, which leaves the base less than 15% above it; or evidence that pushes FY28 AI revenue towards US$150bn and the chip multiple towards 16 times together. **Into more conviction:** a second financing tranche without a Broadcom backstop, or a further custom customer reaching volume.

The call is wrong if the shares close below US$270 by October 2027, or Broadcom cuts its fiscal 2027 AI revenue outlook below US$100 billion, or it makes a payment under its Backstop for a customer's AI rack leases.

Conclusion

My piece of 2 October argued that Broadcom is paid whether the cloud giants stay with Nvidia or leave. The results support it: custom chips and AI networking both grew more than two and a half times, and Tomahawk 6 sits in clusters with no Broadcom custom chips. But the custom half now earns almost three quarters of the AI money, and Anthropic, expected to be the largest custom customer in 2027, runs Google's TPU rather than a chip of its own. The price assumes FY28 AI revenue of about US$127bn, against management's US$230bn and my US$190bn. My call: LONG, medium conviction, target US$485; base value US$486, range US$226 to US$647.

Appendix: forecast assumptions

Assumption	FY26E	FY27E	FY28E	Basis
AI revenue, US$bn	57.6	115	190	FY26: Q4 guide; FY27: management outlook; FY28: mine, 17% below US$230bn
Non-AI chips, US$bn	16.8	17.5	18.0	Q4 guide about US$4.3bn; mine after
Software, US$bn	31.4	33.5	35.5	Q4 guide about US$8.7bn; mine about 6 to 7% growth
Chip segment operating margin		60%	58%	61.3% in Q3 FY26 (10-Q); diluted by memory-heavy racks
Software operating margin		81%	81%	83.7% in Q3 FY26; 80.5% over three quarters
Interest and other, US$bn	-0.58 (Q4)	-2.2	-1.5	Debt falling; mine
Tax rate (non-GAAP)	16%	16%	16%	Guided 16% for FY26 (global minimum tax)
Diluted shares, bn	4.94 (Q4)	4.94	4.94	Q4 guide; buybacks offset dilution (mine)
Multiples, chips / software			20x / 17x	Peer medians 20.7x and 17.4x (stockanalysis.com)

Full workings, with live formulas, in the accompanying model, 2026-10-06_Broadcom_Model.xlsx.

Sources

Broadcom quarterly results releases furnished on Form 8-K (Exhibit 99.1), 12 December 2024 to 2 September 2026, with their comparative columns, for revenue, segment and AI revenue, non-GAAP margins, EPS, stock-based pay, balance sheet and the Q4 FY26 guide. Broadcom Form 10-Q for the quarter to 2 August 2026 (filed 10 September 2026) for shares outstanding, remaining performance obligations, purchase commitments, the AI XPV platform, the Backstop, the convertible notes, customer concentration and segment operating income. Broadcom Form 8-K of 6 April 2026 (Google long-term agreement; Anthropic access to TPU-based compute). Broadcom earnings calls of 4 September 2025, 11 December 2025, 4 March, 3 June and 2 September 2026. Share prices from Nasdaq.com historical data; consensus EPS, average target and multiples from stockanalysis.com; all retrieved 6 October 2026. Estimates for FY26 to FY28 and the sum of the parts are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 2 October 2026, thephysicallayer.fyi/journal/broadcom-wins-either-way; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Broadcom. Personal research, not investment advice.

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